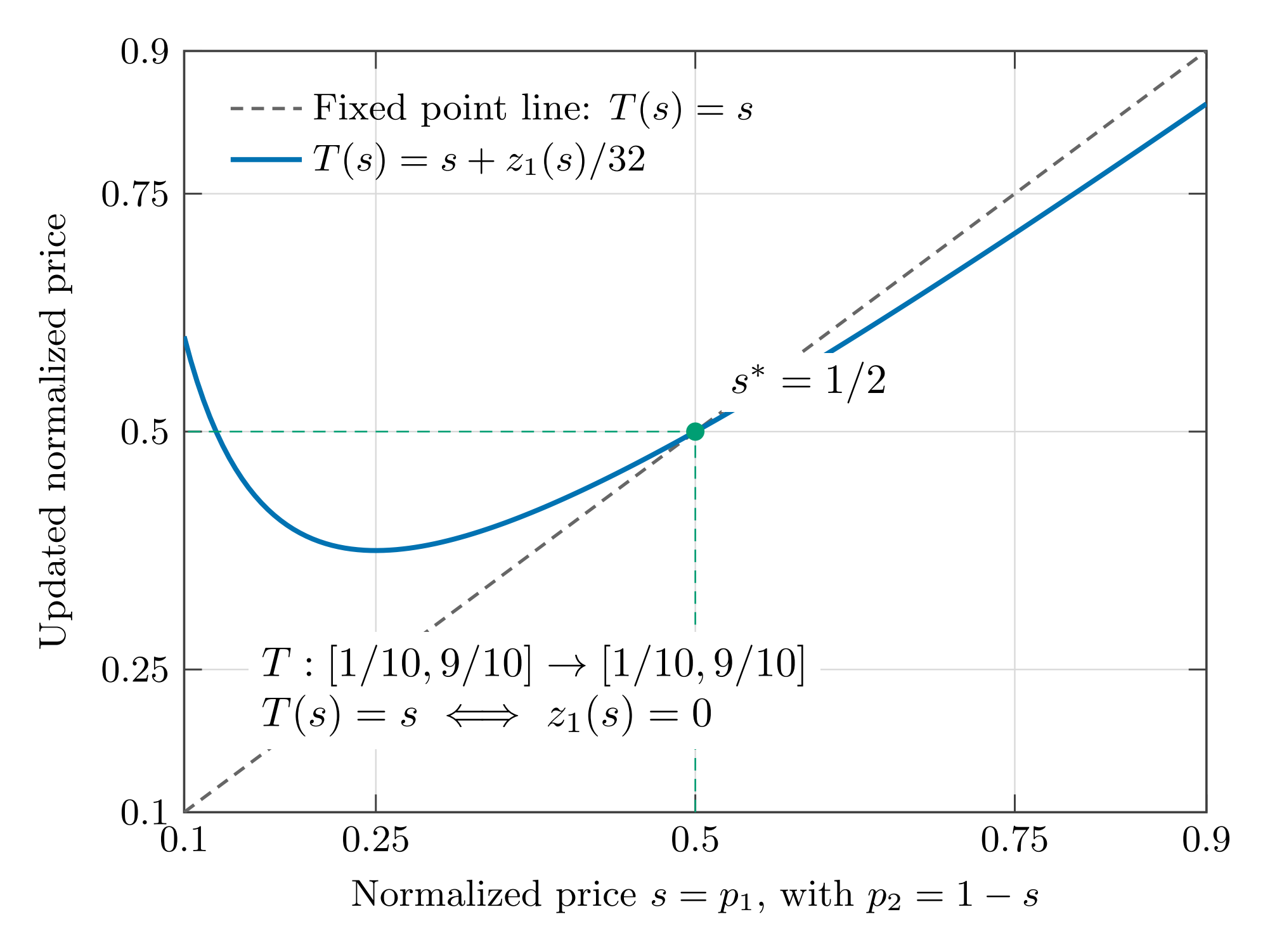

Fixed point line: $T(s) = s$
$T(s) = s + z_1(s)/32$
$s^* = 1/2$
$T : [1/10, 9/10] \to [1/10, 9/10]$
$T(s) = s \iff z_1(s) = 0$
0.9
0.75
0.5
0.25
0.1
0.1
0.25
0.5
0.75
0.9
Updated normalized price
Normalized price $s = p_1$, with $p_2 = 1 - s$